

Why Duffl Should Purchase Snag Delivery

College students are active consumers of doorstep delivery services. Instead of leaving home to drive, walk, or bike to the nearest grocery store, college students utilize fast, environmentally friendly delivery companies to bring their late night Ben and Jerry's right to their front porch. Two companies that have flourished under the demand for quick delivery services are Snag Delivery (Snag) and Duffl. Both of these companies have firms in Isla Vista, California, where the majority of their consumers are UCSB students. Snag and Duffl were both recently established in 2020 and 2019, respectively, and have grown steadily for the past two years. Each company essentially provides the same service. Through their apps, students place orders which are swiftly delivered by employees on eco-friendly electric scooters in under ten minutes. This paper discusses the possible increase in profit for Duffl if they were to buy Snag and whether this merger would be allowed by the Department of Justice.

Fiscally, Duffl is a much larger company than Snag. Duffl has raised \$16.1M in funding whereas Snag has raised \$1.7M.¹ Duffl also has a larger employment and management team with over eight times as many employees working for Duffl than Snag.² Due to the size and financial backing of Duffl, if these two companies were to merge, Duffl would absorb Snag. It would be profitable for Duffl to merge with Snag because of their structural similarities. This way, Duffl can gain Snag's previous consumer base, increasing the demand for Duffl at a low cost.

Company mergers can result in lower costs which can raise overall profits. Oftentimes, companies that sell similar products or services also have similar cost structures. Snag and Duffl both utilize electric scooters as a means of delivering goods to customers. This is a

¹ Pitchbook, "Snag Company Profile 2024." Snag Overview. & Pitchbook, "Duffl Company Profile 2024." Duffl Overview.

² Pitchbook, "Snag Company Profile 2024." Snag Overview. & Pitchbook, "Duffl Company Profile 2024." Duffl Overview

complimentary cost between the two companies. If they were to merge, Duffl would have an abundance of scooters and could either sell this extra inventory, or have extra for when other scooters need to be replaced. Another complimentary cost between both delivery companies would be the management team. A company only needs one CEO. By downsizing the size of the management team and consolidating scooters, Duffl would see an increase in profit by earning the additional revenue from Snag's previous consumers but under a lower total cost. Also, due to the fact that these companies provide essentially the same service, job retraining costs for Snag employees would be minimized. The marginal benefit of Duffl merging with Snag exceeds the marginal cost.

An additional complimentary cost includes the store's inventory space. In Isla Vista, Snag and Duffl are located across the street from each other. Duffl has 11 branches throughout the country, whereas Snag only has six other locations. However, Isla Vista is the only town where both delivery services are located. If the merger were to be successful, the Duffl and Snag Isla Vista branches could consolidate their two storage spaces into one larger space. This could result in an added profit from selling two warehouses in exchange for one in Isla Vista. On the other hand, a small added cost would include rebranding Snag locations to be Duffl. By consolidating stores and products, the joint cost of both companies would be lower than the total costs of each company separately. These factors make it clear that there would be a profit for Duffl to gain from the purchase of Snag.

After realizing the potential profits to be gained from merging, Duffl would need to apply to the Department of Justice to see if such a merger would harm or boost the market. If Duffl were able to buy Snag, this would lead to an increase in Duffl's market power. If a single company dominates the market by owning too many shares, this company would be considered

to be a monopoly or possibly participating in an oligopoly.³ If the Department of Justice views this proposed merger as harming the market by gaining too much market power, they will deny it. The Department of Justice analyzes the business by testing to see if the firm could sustain an increase in price for over a year.⁴ If the firm can stay in business for this year, it sends a signal that this single firm has enough control over the market that consumers are forced to continue purchasing their goods rather than cheaper substitutes. This test is called the hypothetical monopoly test; testing if a company can sustain a small, but significant and non-transitory, increase in price for a year.⁵ The Department of Justice would deny a merger application that did not pass this test.⁶ If Duffl bought Snag, Duffl would still most likely be unable to raise their prices by a small yet significant amount for a year and still remain in business because consumers would simply stop ordering from them. College students are living under a small budget and would adapt to the increase in price by simply walking or getting the goods they desire themselves. Assuming Duffl is a luxury good, not a necessity, purchasing this delivery service would be avoided if price continued to rise.

Another tool that the Department of Justice uses to analyze the ability of a successful merger is the Herfindahl-Hirschman Index (HHI). This index measures the levels of competition and concentration of the market in a single firm.⁷ To understand the HHI for Snag and Duffl, one must know the total market size. Under the assumption that the Department of Justice classifies this market as food and grocery delivery services, this market includes companies like Instacart, Shipt, and grocery store specific delivery services. As shown in Figure 1, the market for grocery

³ U.S. Department of Justice and the Federal Trade Commission.

⁴ U.S. Department of Justice and the Federal Trade Commission.

⁵ U.S. Department of Justice and the Federal Trade Commission.

⁶ U.S. Department of Justice and the Federal Trade Commission.

⁷ Benelli, Cindy. "3.1 C4 and HHI", Managerial Economics, 22 April 2024.

store delivery, essentially what Snag and Duffl do for college students, immensely exceeds the

(in billion U.S. dollars)

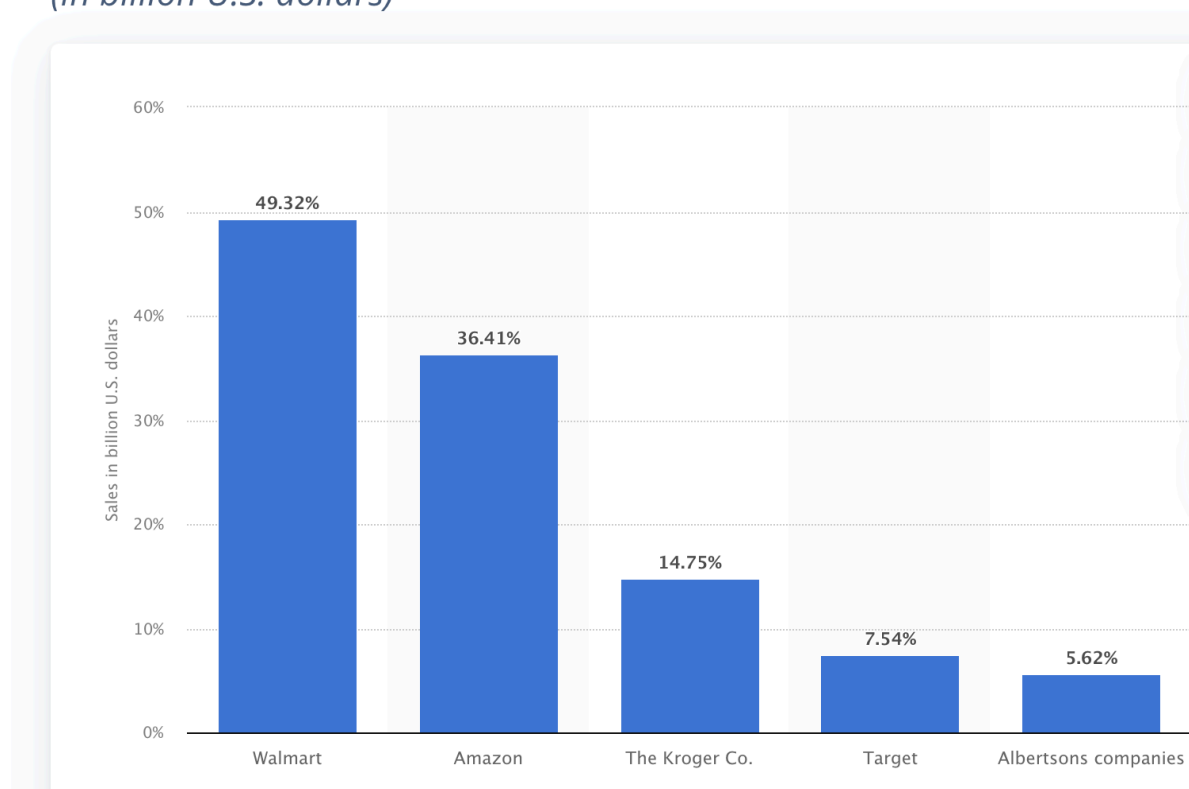


Figure 1: Leading market shares for grocery delivery services (December 2023)

value of both of these small businesses. Both of these numbers are small Relative to the billions of dollars in sales of the total market, Snag and Duffl's shares are minuscule. This implies that the HHI for Snag and Duffl are both relatively small, increasing the probability that their merger application would be successful.

It is necessary to at least consider the possibility that the Department of Justice does not agree with the market assumptions made earlier. One problem that Duffl may run into when trying to buy Snag is that their consumer profile is different from those of the larger delivery service companies. Snag and Duffl sell mostly to college students while the majority of larger grocery delivery companies sell to adults who order groceries for their families. Snag and Duffl

are more focused on quick, few item deliveries so this might constitute them as a different market than the larger, direct grocery delivery firms. However, under the assumption that Snag and Duffl are included in the vast delivery service market, the Department of Justice would be likely to pass their merger application due to Duffl's low HHI and the high probability that Duffl would pass the hypothetical monopoly test.

A horizontal merger between Duffl and Snag would be profitable for Duffl because the majority of the cost of production for each company is the same. The joint cost of operating Duffl and Snag under one management team is lower than the total cost of each company on their own. Each company is a substitute for the other. In order to capitalize on the possible increase in profits for Duffl, the Department of Justice would need to pass the merger application. Under the assumption that both of these delivery companies are part of the vast grocery delivery market, the Department of Justice would be likely to pass this merger due to Duffl and Snag's insignificant concentration of the market's shares. If one also assumes Duffl is a luxury service, significantly raising the price would not be possible because their consumers' willingness to pay is quite low. Thus, Duffl would have a good chance of passing the hypothetical monopoly test and could maximize their profits by purchasing Snag.

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